

Customer Engagement and Product Utilization Analytics for Retention Strategy

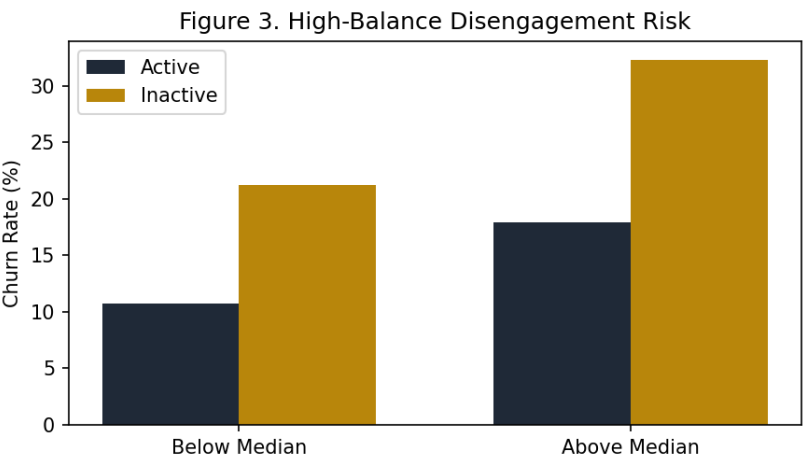
A Data-Driven Study of a European Retail Bank's Customer Base

Overview

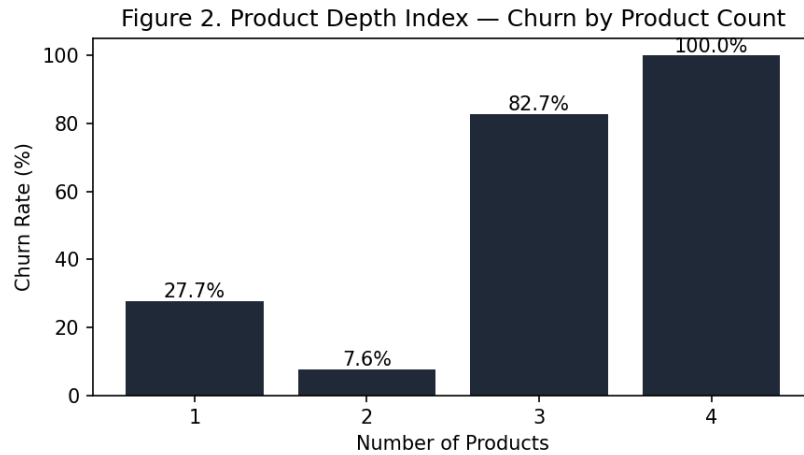
This study analyzed 10,000 customer records from a European retail bank operating in France, Germany, and Spain to determine what actually drives customer churn — behavioral engagement and product usage, or financial strength alone. The overall churn rate across the portfolio is 20.4%.

Key Findings

Finding	Detail
Engagement is the strongest lever	Inactive members churn at 26.9% vs. 14.3% for active members — nearly double
Product depth is non-linear	2-product holders churn at just 7.6%; 3–4 product holders churn at 82.7–100%
Silent churn among premium customers	High-balance, inactive customers churn at 32.3% — the single highest-risk segment
Germany is a risk market	32.4% churn vs. ~16% in France and Spain
A clear 'sticky' profile exists	Active members with 2 products (24.5% of customers) churn at only 5.6%



High-balance customers who disengage represent the greatest concentrated retention risk.



Two products anchor the relationship; three or more signal distress, not loyalty.

Recommendations

- Launch proactive outreach to high-balance, inactive customers before they silently exit
- Promote the 2-product bundle as the core cross-sell target rather than maximizing product count
- Investigate service or bundling issues behind elevated churn at 3–4 products
- Conduct a market-specific review of German operations
- Deploy the accompanying Streamlit dashboard for ongoing, self-service monitoring

Bottom Line

Retention risk is driven primarily by behavior — activity and product fit — not by customer wealth. A targeted, engagement-first retention strategy, focused on the segments identified above, offers a clear and measurable path to reducing churn.